ISSUE #1 · WEEK 43 · 18–25 OCT 2026

The Weekly Signal

Geopolitics, Switzerland, money and AI, read from Mattia's newsletters, feeds and podcasts and checked against the open web. Core read is about 10 minutes; the full issue is about 25.

FACT reported by several sources or primary data OPINION a source's argument

CLAUDE Claude's own reading SOURCE where it comes from UNCONFIRMED single or anonymous source

IN THIS ISSUE

1 Geopolitics & World · 2 Switzerland · 3 Money, Macro & Bitcoin · 4 AI · 5 Contradictions · 6 Watch next week · 7 Listening · 8 Reading

The week in five minutes

1. **The Gulf war spread to Saudi soil again.** Brent hit its highest level since early May (about $114 intraday on Friday). Over the weekend the Houthis claimed strikes on Riyadh's airport and Saudi oil sites, and Trump said the US "may do another little Epic Fury".

   Why it matters: oil is the main driver of this year's inflation and of every central bank decision this autumn.

2. **France's borrowing costs hit a 24-year high.** The 10-year yield briefly topped 5% on Wednesday, with the gap to Germany near 160 basis points, the widest since 2011. Moody's held the rating on Friday.

   Why it matters: a debt scare in the eurozone's second economy weighs on the euro and pushes money into the franc.

3. **Wall Street swapped AI stocks for bonds.** The Nasdaq fell 2.6% on Thursday; the US 10-year closed the week at 4.99%, down 11 basis points.

   Why it matters: the Fed decides on Wednesday, and Microsoft, Alphabet and Amazon report the same week.

4. **Eight names want Parmelin's seat.** The SVP deadline closed with seven declared candidates plus Thomas Aeschi undecided. Parliament votes on 9 December.

5. **Switzerland approved its first spot Bitcoin fund.** FINMA cleared BBIT for retail; it lists on SIX in November.

   Why it matters: Bitcoin in every bank depot, but a fund share is not your own key.

6. **Bitcoin slipped under $80,000 on Saturday.** US ETFs still took in a net $301m on the week, but Thursday's $636m outflow was the largest since June.

7. **Anthropic's IPO numbers leaked.** A draft prospectus shows $16.3bn first-half revenue and an $80.7bn net loss, mostly a one-off accounting charge.

1 Geopolitics & World

Gulf: the war hits refineries and airports

WIDELY COVERED

FACT The US–Israeli air campaign against Iran began on 28 February. An 8 April ceasefire ended the heaviest fighting, and a June memorandum meant to lead to a settlement later collapsed. Since then Iran claims control of the Strait of Hormuz and attacks ships that cross without its permission, while the US keeps a naval blockade on Iranian ports.

This week the pressure moved to Saudi Arabia. Brent reached its highest level since 4 May after Houthi attacks on the kingdom. On Saturday the Houthis said they hit Riyadh's King Khalid airport and Saudi oil facilities; on Sunday Saudi air defences intercepted drones and missiles over Riyadh and ten ballistic missiles aimed at the south. Riyadh's airport had only just reopened two terminals after a 10 October strike that killed at least 12 people.

Diplomacy did not move. Foreign Minister Araghchi said on Sunday that a new war would not change Iran's position and that Hormuz's shipping routes and management "will change" permanently. Iranian media denied reports that Tehran had sent a reopening offer through Pakistani mediators. On Friday Trump said Washington "may do another little Epic Fury", the name of the original campaign.

> **Second-order:** Doomberg's October Pro note argues that attacks on civilian energy infrastructure, refineries above all, have become normal. CLAUDE That makes a shortage of refined products (diesel, jet fuel) more likely than a crude shortage. It also explains why Washington lifted sanctions on Russian diesel for six months earlier this month, and why the US Strategic Petroleum Reserve is at a 40-year low (The Bitcoin Layer).

SOURCE ABC News · Doomberg: Academy – Refining · Crypto Times: BTC below $80,000 · Wikipedia

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France: from street protests to a bond scare

WIDELY COVERED

FACT Protests drew about 550,000 people on 18 October, rioters burned Limoges's town hall, and more than 600 rallies were planned for 24 October. On Wednesday the French 10-year yield briefly passed 5.00% for the first time since July 2002, and the spread over German Bunds neared 160 basis points, the widest since the 2011 euro crisis. ING says parliament is positioning for elections instead of fixing the 2027 budget. Moody's had been expected to cut France from Aa3 to A1 on Friday; it kept the rating and said it expects the deficit to shrink in 2027.

The damage is reaching Switzerland: Breitling's CEO said the unrest has "devastated" its French business (swissinfo).

OPINION Peter McCormack condemns the violence but reads it as young people reacting to debt and housing costs loaded onto them by older voters. Friedrich & Partner's Sunday letter asks whether a "euro crisis 2.0" is coming and whether Germany pays (body not readable, subject line only). Tucker Carlson's episode with a former ICE official frames the riots through the "Great Replacement" theory; that is a political claim, not an established fact. All-In discusses "the fall of France" from a VC perspective.

SOURCE Democrata/ING · abcbourse: Moody's and France · Mises "Notes from the Margin" · Euronews

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Ukraine: Witkoff in St. Petersburg, Starlink back on

FACT US envoy Steve Witkoff met Putin on 21 October, arriving from Oslo where he had seen Zelensky. He urged a return to three-way talks and thanked Putin for the diesel deal. No agreement followed: Lavrov ruled out political concessions, and Moscow rejects a full ceasefire. Zelensky said Ukraine and the US had agreed proposals including security guarantees and that US intelligence sharing has resumed. On Sunday Ukraine said Starlink and Starshield were back to full speed after more than a week of throttling that disrupted drone defence. Reuters reports US administrations have long asked Musk to switch the service on or off by country.

SOURCE Kyiv Post: Witkoff–Putin talks · Moscow Times · Reuters via Tech Trends

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Also on the board

- Israel votes on **Tuesday 27 Oct**. Mises' Notes from the Margin points out that Netanyahu's opposition is, if anything, more hawkish on Iran, so a change of government may not change Iran policy. CLAUDE
- Ryan McMaken (Mises) highlights an appeal by economists Christopher Coyne and Daniel Klein for a peaceful, multipolar US foreign policy; Radio Rothbard argues foreign policy follows insiders' incentives, not a "national interest". OPINION

2 Switzerland

Federal Council race: seven in, Aeschi undecided

FACT The SVP's deadline closed on Friday at noon. Declared: Céline Amaudruz (GE), Marco Chiesa (TI), Rémy Wyssmann (SO), Michael Graber and Franz Ruppen (both VS), Pierre Alain Schnegg (BE) and Jean-Pierre Gallati (AG). Group leader Thomas Aeschi (ZG) was nominated by his canton but says he will decide "in the coming weeks". Thomas Matter withdrew, and the Zurich party, the SVP's largest, fields no one.

Amaudruz is the most debated name. She breaks with her group on social issues such as same-sex marriage and paternity leave, which could win left-wing votes in December but cost her inside the party. Roger Köppel (Weltwoche, opinion) called a nomination of her a "monumental mistake". Next: hearings with selection chair Caspar Baader, a proposal by 13 November, the group's ticket around 20 November, and the vote on 9 December, where Parliament is not bound by the ticket.

SOURCE SRF: Diese SVP-Kandidaten gehen ins Bundesratsrennen · bluewin: Amaudruz is becoming a problem · Tages-Anzeiger

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FINMA approves the first retail spot Bitcoin ETF

FACT BBIT from Zurich-based BIT Asset Management will list on SIX in November. Swiss investors have had Bitcoin ETPs since 2018, which are legally debt notes. BBIT is a fund under collective-investment law, with FINMA waiving the usual diversification rule. Fee and custodian are not yet public. CLAUDE Easier access helps adoption; the trade-off is unchanged, since a fund share is a claim on a custodian.

SOURCE Relai · BeInCrypto: Switzerland's first spot Bitcoin ETF

Also this week

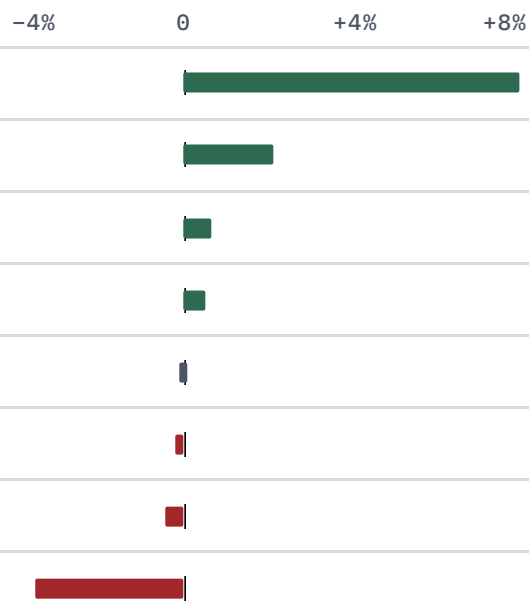
- **Franc as safe haven:** EUR/CHF hovered near 0.92, a three-month low. Commerzbank says safe-haven demand limits the franc's losses; fear of SNB intervention caps gains. FXStreet, swissinfo
- **F-35:** the Federal Council accepted that it could have handled the procurement better, following the GPK report that there was never a binding fixed price. swissinfo
- **Job cuts:** Sunrise plans to cut 358 jobs; Zenith up to 200; Just Eat is dropping several hundred employed couriers. swissinfo, SWISSVOX
- **e-ID vote stands:** the Federal Supreme Court rejected appeals against the result. SWISSVOX
- **29 November votes:** the GLP backed the AHV VAT financing with a "teeth-gritting yes"; the Federal Council recommends no on the fireworks initiative. Earlier polling had the AHV item behind, 39 to 51 (YouGov). swissinfo
- **Markets:** SMI 14,462 (+0.5% on the week, +9% this year). Nestlé beat with 4.0% organic growth; Holcim rose about 5% on Friday after raising targets. Lindt's chairman ruled out resigning. MarketScreener, SWISSVOX

3 Money, Macro & Bitcoin

WEEKLY MOVES, FRI 16 OCT → FRI 23 OCT

Approximate closes. Brent is measured to Friday's intraday high; Bitcoin is the Sunday level.

ASSET	LEVEL	WEEK
Brent crude	~$113–114	≈ +8%
Russell 2000	2,778	+2.1%
Dow Jones	52,338	+0.6%
SMI	14,462	+0.5%
Bitcoin	~$80,900	≈ 0%
S&P 500	7,642	−0.2%
Nasdaq	26,022	−0.5%
Gold	~$4,020	−3.5%
US 10-year	4.99%	−11 bp on the week; peaked at 5.36% on 7 Oct
France 10-year	~5.0%	touched 5.00% on Wed, first time since 2002
EUR/CHF · USD/CHF	≈0.921 · 0.822	franc near three-month high vs euro



Rates: a near three-sigma bond rally

FACT The Bitcoin Layer calls this week's fall in US yields a near three-sigma move: money left the Nasdaq for Treasuries, and options traders are again paying up for bets on further bond gains, the first time since early 2026. Its reasons: oil keeps inflation high, the SPR is at a 40-year low ahead of the midterms, and the weaker half of the "K-shaped" economy is cracking. US pending home sales posted their worst yearly change since August 2023; Mises notes record auto-loan delinquencies and the worst card delinquencies among over-70s since 2011.

The Fed (3.75–4.00% after a September hike) meets on 27–28 October. CME pricing on Thursday put a second hike at under 10%. OPINION Dalio's 13 October note argues the bond bear market "probably has further to run" as Treasury supply rises and foreign demand fades. One rally does not settle which of the two is right.

SOURCE The Bitcoin Layer: Is The AI Trade Rolling Over? · Ray Dalio: The Numbers Behind the Bond Bear Market · Mises Wire: Market Coiling · CryptoTicker: Bitcoin and the Fed window

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Bitcoin: below $80k, but Wall Street keeps warming up

- **Price:** about $84,300 on Wednesday, $81,000 on Friday, a dip to $79,263 on Saturday, about $80,900 on Sunday. That is 36% below the $126,080 high.
- **Flows:** US spot ETFs: +$527m Mon, +$23m Tue, +$525m Wed, −$636m Thu (largest outflow since June), −$138m Fri. Net +$301m, ending a two-week losing streak.
- **Leverage:** $821m of crypto positions were liquidated in 24 hours to Saturday evening, 84% of them longs.
- **JPMorgan:** its 31st Long-Term Capital Market Assumptions include Bitcoin for the first time, ranked above stocks, bonds and gold. James Lavish asks whether that is a recommendation; he discloses that he holds Bitcoin and sits on a Bitcoin treasury company's board. JPMorgan still keeps it out of model portfolios.
- **Strategy and MSCI:** the final decision on excluding "non-operating" Bitcoin holding companies comes on 11 November.

OPINION TBL's Johan describes a "bear-market uptrend" and stresses the bear part. BlingBling argues the four-year cycle puts the low around now, about 380 days after the October 2025 peak, and warns it may be coincidence. Loddi Tröster (on *Was Bitcoin bringt*) expects a return to money printing and calls Bitcoin holders "inflation winners".

SOURCE Crypto Briefing: ETFs end losing streak · Crypto Times: BTC below $80,000 · The Informationist: Did JPMorgan Just Recommend Bitcoin? · TBL

Gold and energy

FACT Gold briefly fell below $4,000 and lost 3.5% on the week, against an early-2026 high near $5,400. Mark Thornton (Mises) reads the metals as "coiling" before a bigger move. Doomberg's Saturday piece looks past the Gulf: Petrobras found oil off Brazil's Amapá coast, which could make the Equatorial Margin the next Guyana. CLAUDE New non-Gulf supply takes years and does not help this winter.

SOURCE Cantech Letter: Weekly US closes · Mises Wire: Market Coiling · Doomberg: Academy – Refining

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The Austrian reading CLAUDE

Definition. For Austrians, a bubble is malinvestment: capital tied up in projects that only looked profitable because credit was cheap. The bust is when those projects are revealed and liquidated.

1. **The boom.** Years of low rates and easy credit funded long-dated bets: AI data centres financed with debt, housing bought at 3% mortgages, auto loans stretched to the limit.
2. **The signal.** Rates rose (10-year up to 5.36% in early October). New mortgages now cost far more than old ones (TBL's "massive K"), and delinquencies climb first where borrowers are weakest.
3. **The revaluation.** Investors start asking where demand for all the compute comes from. This week's Nasdaq drop and the move into Treasuries fit that phase. Mises Wire's pieces on the Panic of 1837 and the 2000s housing bubble make the historical case.
4. **The policy choice.** Letting the liquidation happen is painful in an election year with a war on. The Austrian expectation is that governments will eventually choose renewed money creation instead, which is the case for hard money.

Counter-argument. Much AI spending comes from cash-rich firms out of profits, not only borrowed money, and real demand for AI is growing fast (Anthropic's revenue grew roughly fifteenfold in a year). Some of today's "malinvestment" may turn out to be ordinary investment that simply arrived early.

4 AI

Anthropic's numbers come out ahead of a listing

WIDELY COVERED

FACT A draft IPO prospectus seen by the Wall Street Journal shows first-half 2026 revenue of $16.3bn, up from $1.1bn a year earlier, and a net loss of $80.7bn. About $72bn of that is an accounting charge tied to convertible notes. Compute commitments total roughly $450bn over 7–10 years, mostly to Google Cloud and AWS. A November IPO is expected; reported valuations range from about $1.5 to $2 trillion. The public filing and exact date are not yet confirmed. UNCONFIRMED CNBC reports OpenAI is raising up to $30bn at a $1.25tn valuation.

SOURCE WSJ via Investing.com · Reuters via Quartz · Dealroom

The PHP aftermath: AI finds old bugs faster than we patch

FACT The two critical PHP flaws that took government sites offline date back to PHP 5 in 2004. They were found with AI agents (OpenAI's and Google's models, via Calif and Wiz), and details leaked a day before the fix. Censys counted about 1.5m of 2.6m PHP hosts still unpatched. Security experts warn AI is doubling the pace of flaw discovery and shrinking the window to patch. The same week, eight intermediate certificate keys at eMudhra were compromised; pip, uv and certifi shipped updated trust lists.

SOURCE Simon Willison: PHP security release · DEV digest · TechCrunch · All-In

Also this week

- **Models:** Moonshot's Kimi K3.1 Pro scores 55 on Artificial Analysis, second only to Claude Opus 5.5 (58), at $2/$10 per million tokens; open weights promised by 4 November. MiniMax published M3.1 Flash weights. Simon Willison
- **OpenAI** reportedly cancelled its GPT-6.1 "Astra" release after internal safety tests. UNCONFIRMED (WSJ, second-hand)
- **Anthropic** handed its Agent Skills standard to the Linux Foundation's Agentic AI Foundation, next to MCP.
- **Robotaxis in Europe:** Stellantis, Wayve and NVIDIA announced a French autonomous-driving chain; EU rules cap driverless approvals at 1,500 cars a year.
- **Mollick:** 180 models now beat GPT-4 at launch, 19 of them run on a phone, and the cost of a graduate-level answer fell from about 30 cents to fractions of a cent.
- **Jack Clark** told the IMF the singularity "has begun", citing AI's contribution to science. OPINION
- **Sponsored:** Sunday's Rundown was an SAP-paid interview with CTO Philipp Herzig. His useful point, once you discount the vendor: generating an app is easy; running it reliably is the hard part.

PRACTICAL INSIGHT 1

"Make it better" loops, with a check

Ethan Mollick built his book charts by giving an agent short guidance and then repeatedly asking it to improve the result. The AI caught a math error of his own. Use the same loop, but force a check each round:

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"Improve this. Then list every number you used, where it came from, and one thing that could be wrong. Don't change anything I marked as final."
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Example: drafting a cost comparison for a building project or a CHF budget. The source list each round is what catches the "fluent but wrong" answer.

PRACTICAL INSIGHT 2

Test an AI tool with bad inputs

SAP's CTO suggests feeding an agent inputs your real system would reject, such as an invoice with no currency, and seeing what it accepts. Do this before trusting any AI workflow:

- Give it a document with a missing date, a wrong total, or two conflicting figures.
- If it fills the gap silently instead of flagging it, add "Flag missing or inconsistent data; never guess" to your instructions.
- For costs: send simple tasks to a smaller model and keep prompts short. Extra context is the most common waste.

5 Contradictions & blind spots

Bond rally or bond bear?

TBL sees a flight to Treasuries; Dalio says the bear market in bonds has further to run. Both can hold: a short rally inside a longer decline. CLAUDE

Is Wall Street buying Bitcoin?

JPMorgan ranks it above stocks for the next decade, and ETFs took in $301m net. Yet Thursday's outflow was the biggest since June and price fell below $80k.

Is Hormuz open?

Iran says shipping will be managed differently from now on; Washington keeps a blockade and talks of new strikes. No published plan bridges the two.

Is France a crisis?

Bond markets priced the worst spread since 2011; Moody's chose not to downgrade. Ratings agencies lag markets, but they also see the budget numbers.

Missed by the newsletters this week: the Federal Council race, the Moody's decision on France, Starlink being throttled over Ukraine, and the Houthi campaign against Saudi airports, which none of the subscriptions treated as a story of its own.

6 Watch next week

Tue 27 Oct	Israel election · Novartis Q3 · SAP TechEd keynote
Wed 28 Oct	Fed decision, 19:00 Swiss time (clocks went back today). Hike odds under 10%.
Late week	Microsoft, Alphabet and Amazon earnings: the test of the AI trade · Bitcoin options expiry Fri 30 Oct (~$11bn)
Ongoing	Possible new US strikes on Iran · Houthi attacks on Saudi Arabia · French budget fight
November	US midterms (3 Nov) · Kimi open weights (4 Nov) · MSCI decision on Strategy (11 Nov) · SVP ticket (~20 Nov) · votes (29 Nov) · BBIT listing · Anthropic IPO

7 Worth listening

GRASSL & MATEI · #243 · 22 OCT · DE

Netanyahu vor dem Ende? Wahl in Israel

42 minutes before Tuesday's vote: what Israel's election means for the Iran war. Pairs with #242 on France (19 Oct).

WAS BITCOIN BRINGT · 20 OCT · DE

Wir wissen, wie es weitergeht: Krise, Gelddrucken, Bitcoin with Loddi Tröster

The Austrian case for why debt, high rates and shaky bond markets end in money printing. The counterpart to this week's Austrian box.

ALL-IN · 23 OCT · VC PERSPECTIVE

AI Cyber Panic, Ken Griffin's Bubble Warning, The Fall of France?

Three of this issue's stories in one episode, with Palo Alto Networks' CEO on AI-driven attacks. An investor's view, not a neutral one.

Also good: Was Bitcoin bringt with Peter Kotauczek on who owns "dormant" coins (22 Oct) · Bitcoin Standard Podcast, lecture 2 "Money" (20 Oct) · Tucker Carlson with Stephen Semler on the cost of the Iran war (23 Oct, opinion show) · Radio Rothbard on the interests behind US empire (23 Oct).

8 Worth reading in full

Is The AI Trade Rolling Over?

The Bitcoin Layer · rates, oil, the K-shaped economy and liquidity in one chart-heavy read

Did JPMorgan Just Recommend Bitcoin?

James Lavish · what the bank's 10-year forecast does and does not say (partly paywalled)

The Panic of 1837: An Austrian View

Joshua Mawhorter · a credit-boom bust told through history, useful context for today's credit worries

Source health

CONTRIBUTED

The Bitcoin Layer · Relai · Rundown AI (1, sponsored) · Doomberg (2) · Informationist (2) · Mises Wire · Peter McCormack · BlingBling (2) · One Useful Thing · Simon Willison · Import AI · Swiss web (SRF, swissinfo, bluewin, MarketScreener) · podcasts: Was Bitcoin bringt (2), Bitcoin Standard, Radio Rothbard (2), All-In (3), Tucker, Grassl & Matei (via rephonic)

FAILED OR NEEDS ACTION

Friedrich & Partner: email arrived with an empty body (HTML-only link) · Incrementum: confirmation email still unconfirmed, please click it · Grassl & Matei feed in the registry stops at 7 Sep while new episodes exist; recheck the URL · International Intrigue and Bitcoin Treasuries: no direct issues yet, forwards unreadable · Feed leads: Human Action Podcast items appear in mises.org/feed/rss.xml; What Bitcoin Did may be on libsyn (unverified)

NOTHING NEW THIS WEEK

Mearsheimer (8 Oct) · McNair (13 Oct) · Hersh (14 Oct) · Dalio (13 Oct, used as background) · Jimmy Song (12 Oct) · Arthur Hayes (11 Aug) · Fix the money (4 Aug) · Bitcoin Strategy (1 Aug) · Lex Fridman (17 Sep) · Semafor, Scholarium, Incrementum, In Gold We Trust, BitBox: only welcome or confirmation emails so far

Sources

1. ABC: Iran says new war would not change its stance
2. Tribune: Iran denies Hormuz offer via Pakistan
3. AFP via Citizen: Riyadh airport strikes (10–11 Oct)
4. Doomberg: Academy – Refining
5. Doomberg: Margin Call
6. Ship & Bunker: US lifts Russian diesel sanctions
7. Democrata: French 10-year above 5%
8. abcbourse: Moody's and France
9. Mises: French riots and the bond market
10. Peter McCormack: French Riots
11. Kyiv Post: Witkoff–Putin talks
12. Tech Trends: Starlink restored in Ukraine
13. Mises: Israel's opposition on Iran
14. SRF: Diese SVP-Kandidaten gehen ins Bundesratsrennen
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16. BeInCrypto: Switzerland's first spot Bitcoin ETF
17. swissinfo: latest news
18. swissinfo: Alle News in Kürze
19. SWISSVOX: Daily briefing 23 Oct
20. FXStreet: Franc safe-haven support
21. MarketScreener: SMI zum Wochenschluss
22. Cantech Letter: Weekly US closes
23. The Bitcoin Layer: Is The AI Trade Rolling Over?
24. Ray Dalio: The Numbers Behind the Bond Bear Market
25. CryptoTicker: Bitcoin and the Fed window
26. Crypto Briefing: ETFs end losing streak
27. Crypto Times: BTC below $80,000
28. The Informationist: Did JPMorgan Just Recommend Bitcoin?
29. BlingBling: Warum du diese Woche über Bitcoin nachdenken solltest
30. Mises Wire: Market Coiling
31. Mises: Auto loan delinquencies
32. Quartz: Anthropic draft prospectus
33. Investing.com/WSJ: Anthropic revenue $16.3bn
34. DEV: AI Daily Digest 24 Oct
35. Simon Willison: PHP security release
36. Simon Willison: eMudhra compromise
37. Moonshot: Kimi K3.1 Pro
38. October 2026 model updates
39. One Useful Thing: 30 Months on the Exponential
40. Import AI 477
41. Rundown AI: SAP's Philipp Herzig (sponsored)
42. Mises Wire: The Panic of 1837

Written by Claude from Mattia's newsletters, feeds and podcasts, checked against the open web.